



MARKET ENTRY FRAMEWORK



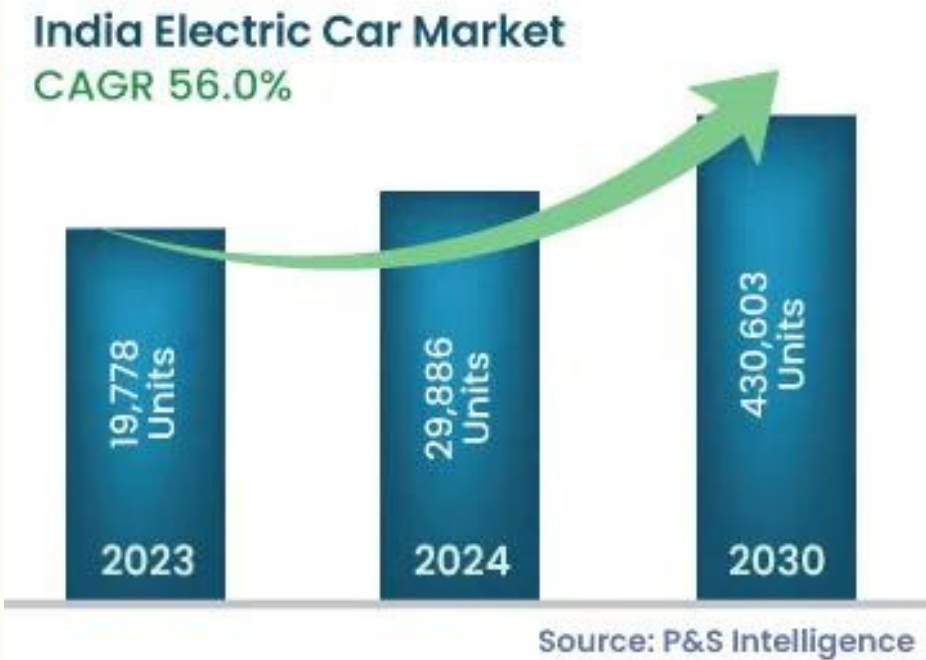
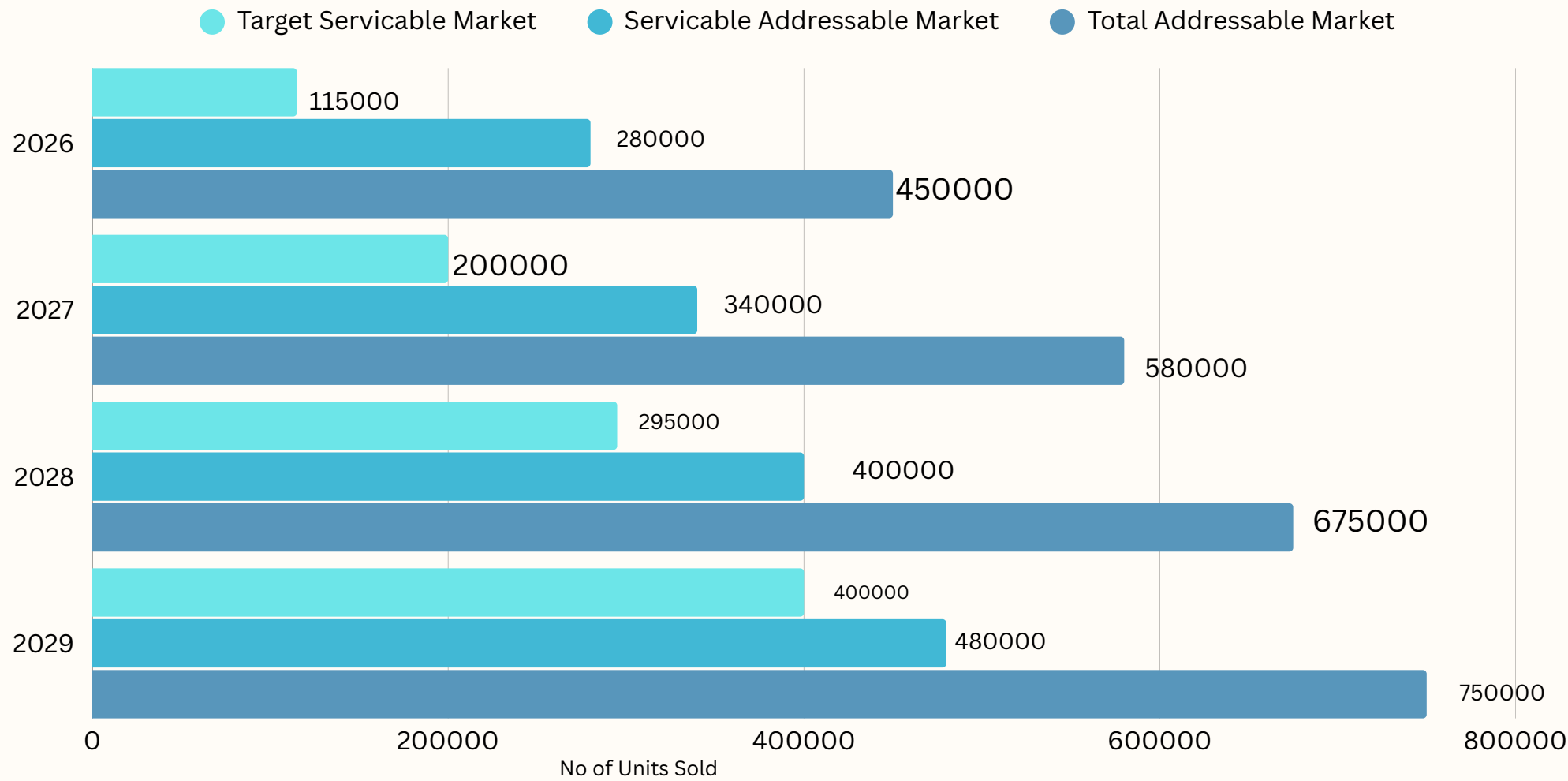
MARKET ANALYSIS

India is the third largest automobile market globally in terms of sales, ahead of Germany and Japan. Manufacturers and policymakers are increasingly urged to join forces, aiming to steer consumer demand towards more eco-friendly alternatives. The automotive sector is a major contributor to India's economy, accounting for 7.1 percent of its GDP and providing significant employment.

According to data from VAHAN(VAHAN serves as the flagship e-Governance application under India's National Transport Project), India's electric two-wheeler market experienced a notable surge in sales in the third quarter of FY 2023-24 (Q3 FY 24) compared to the previous quarter (Q2 FY 24), with a 34.42 percent increase. This uptick is also reflected by the robust sales in the ongoing fiscal – Q4 FY 24 – with 76,301 units sold.

Meanwhile, the Economic Survey of India 2023 had forecast a robust 49 percent compound annual growth rate (CAGR) in India's domestic electric vehicle market between 2022 to 2030, with an estimated 10 million annual sales by 2030. Projections indicate that the EV industry is set to generate approximately 50 million direct and indirect employment opportunities within the next seven years.

Market Sizing Projection for passenger EVs



Electric cars accounted for just 1.3 percent of car sales in 2022, that is, 49,800 EVs sold out of 3.8 million passenger vehicles. Nevertheless, automakers and allied sectors remain buoyant about EV use in the near future, with traditional players and new stakeholders exploring multiple pathways to R&D and commercial production of vehicles and auto components.

GOVT. POLICIES AND SUPPORT

Faster Adoption and Manufacturing of (Hybrid &) Electric Vehicles in India (FAME India) Scheme: Initiated in 2015, the FAME scheme aims to reduce reliance on fossil fuels and tackle issues related to vehicular emissions. Currently, in its Phase II, the FAME scheme has been allotted US\$1.2 billion over a 5-year span from April 1, 2019. Nearly 86 percent of the budget has been designated to boost the demand for EVs by supporting the deployment of 7000 e-Buses, 500,000 e-3 wheelers, 55,000 e-4 wheeler passenger cars (including strong hybrid), and 1 million e-2 wheelers. As of August 1, over 753,00 e2Ws were supported under FAME II. Only advanced battery and registered vehicles will be incentivized under the scheme.

The government has introduced additional measures to accelerate green mobility. These include:

- "Union Budget 2023-24 Extends Customs Duty Exemption, Boosting Import of Capital Goods for Electric Vehicle Batteries Production"
- The GST on electric vehicles has been reduced from 12 percent to 5 percent, and the GST on chargers and charging stations for electric vehicles has been reduced from 18 percent to 5 percent.
- Both commercial and private battery-operated vehicles are provided with green license plates and are exempted from permit requirements.
- "Ministry of Power Revamps Guidelines, Mobilizing Private Sector for Nationwide Expansion of Electric Vehicle Charging Infrastructure; Oil Marketing Companies to Roll Out 22,000 Charging Stations"

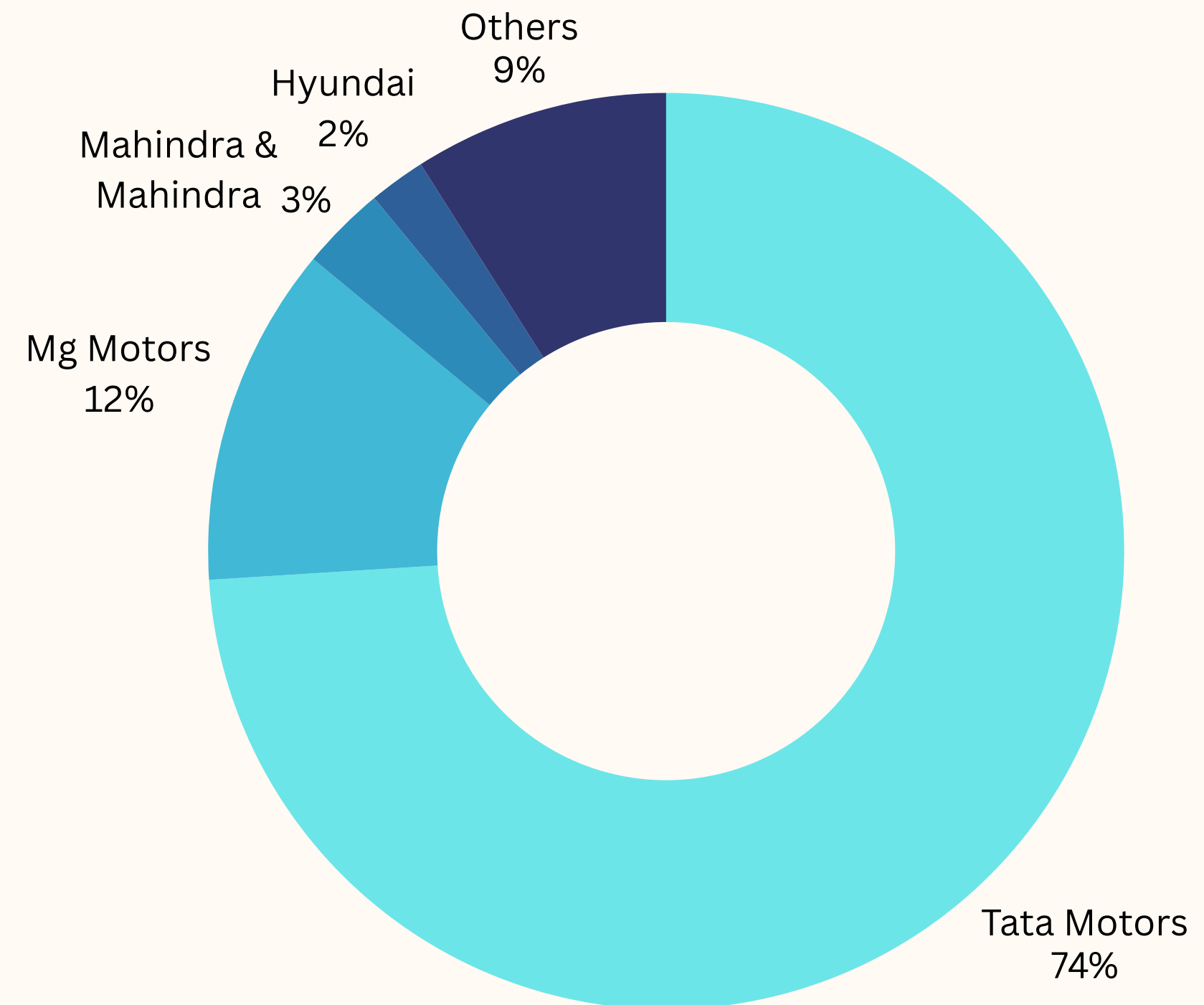
Industry Analysis

The Indian EV market is experiencing a surge in activity, leading to a highly competitive landscape. Here's a breakdown of the competition JSW-MG Motor will face:

- **Tata Motors** (holds a significant market share, exceeding 70% in some segments)
- **Mahindra & Mahindra** (established player with a range of EV offerings)
- **Maruti Suzuki** (major traditional car manufacturer entering the EV space)
- **Hyundai** (global brand with a growing EV portfolio in India)
- **Hero Electric** (leading player with a strong brand presence)
- **Bajaj Auto** (major two-wheeler manufacturer introducing EVs)

Market Acquisition for E-4W

2024





SWOT

S (Strengths)

- JSW Group vertically integrates its supply chain, leveraging its steel industry expertise to produce lightweight EV equipment. By integrating renewable energy assets, it develops sustainable EV charging infrastructure. Prioritizing quality and sustainability, JSW establishes itself as a leader in eco-friendly transportation, appealing to conscientious consumers and gaining a competitive edge.

W (Weaknesses)

- JSW's entry into the EV industry faces challenges like its newcomer status, heightened competition, and lack of charging infrastructure causing "range anxiety." Ambitious launch targets may lead to quality compromises or delays, while building a nationwide sales and service network requires substantial investment.

O (Opportunities)

- The Indian EV market's robust growth (CAGR >26%) offers ample opportunities. Government incentives like the FAME schemes drive EV adoption. With rising fuel costs, EVs become more attractive for budget-conscious consumers. Growing environmental awareness fuels demand for sustainable transportation, boosting EV appeal.

T (Threats)

- The Indian EV market shows promising growth due to environmental awareness, government incentives, and tech advancements. Yet, challenges like insufficient charging infrastructure, high costs, and regulatory uncertainties exist. Overcoming these requires bridging infrastructure gaps, enhancing affordability, ensuring stable policies, securing the supply chain, and educating consumers.

STRATEGIC IMPLICATIONS

EMPHASIZING B2B MARKETING

In the initial stages of market entry, our focus is on B2B marketing strategies. We aim to forge strong partnerships with prominent delivery or transportation companies to introduce our EV vehicles into their fleets. By offering compelling deals and highlighting the benefits of our electric vehicles, we strive to establish ourselves as a preferred provider in the rapidly evolving market for sustainable transportation solutions.

STRATEGIC COLLABORATION BENEFITS"

Exploring the partnership with MG Motors, a Chinese company renowned for its effective batteries, presents an opportunity to reduce costs through importing their superior technology for assembly locally. By leveraging their expertise, we can enhance the efficiency of our operations while also providing invaluable training to our workforce, equipping them with advanced skills and technological know-how. This strategic collaboration not only streamlines our production process but also ensures that we remain competitive in delivering high-quality products to our customers.

DEALER NETWORK & SERVICES

Establishing a robust dealer network and comprehensive after-sales service infrastructure is paramount for the success of our EV company. By strategically positioning dealerships in key locations and ensuring seamless support post-purchase, we can enhance customer satisfaction and trust in our brand. Regular customer feedback is essential for continuous improvement, necessitating the establishment of a dedicated problem analysis department within our company. By systematically addressing issues identified through customer feedback, we can proactively enhance our products and services, ensuring customer satisfaction and loyalty.

VERTICAL INTEGRATION & DIVERSIFIED OFFERINGS

To maximize efficiency and control over our operations, we are pursuing vertical integration across the value chain for our EV company. By integrating key aspects such as manufacturing, distribution, and retail, we streamline processes and reduce dependency on external suppliers. This strategic approach allows us to optimize costs, improve quality control, and accelerate innovation by fostering synergies between different stages of production. We aim to cater to diverse customer preferences by offering a range of competitive and feature-rich EVs across various price points. This approach ensures that our lineup appeals to a wide spectrum of consumers, enabling us to establish a strong presence in the rapidly growing electric vehicle market while meeting the evolving demands of eco-conscious drivers.



Impact On Different Sectors

Energy Sector

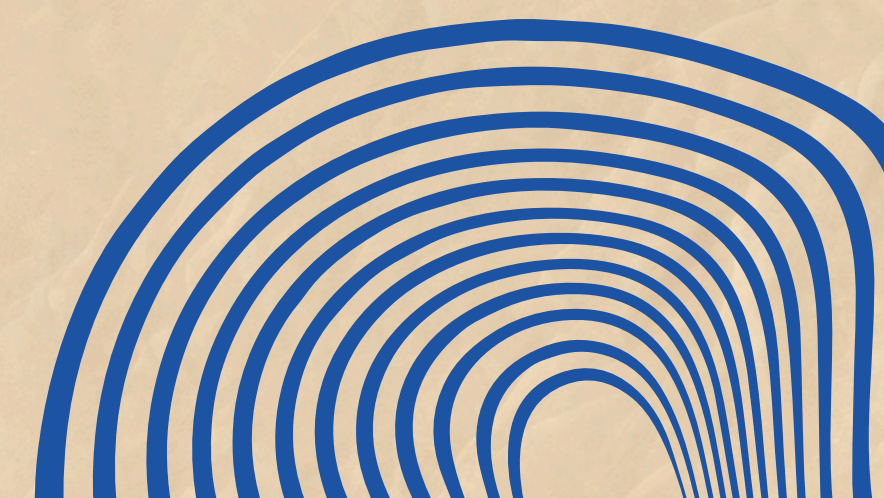
- JSW can develop a system for manufacturing and recycling EV batteries, generating revenue and promoting sustainability.
- EV segment increases the demand of electricity, providing opportunities for the Energy division.
- Energy division can diversify itself into EV charging infrastructure, offering green energy solutions to EV charging stations.
- EVs can diversify the reach of JSW energy Group all over India by setting up power stations across the country.

Steel and Infrastructure Sector

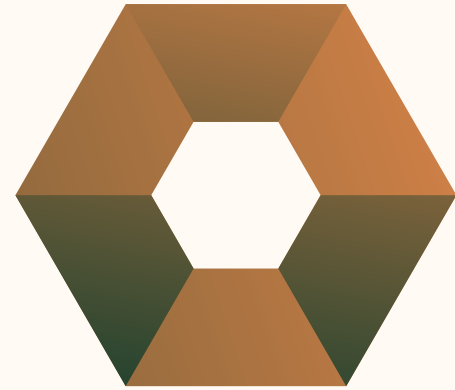
- JSW diversification in the EV market can help the steel segment boost its capability and increase the demand for high-strength, specialized steel products specially designed for the manufacturing of EVs.
- JSW entry into EVs empowers the internal integration of Steel Manufacturing ensuring quality and cost efficiency..

Logistics and Transportation Sector

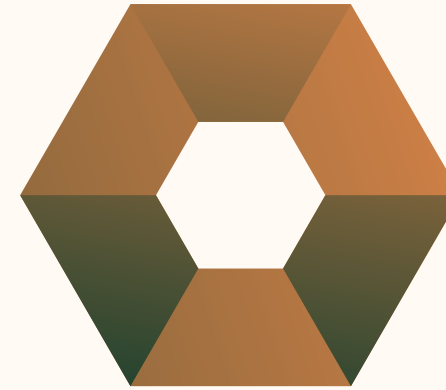
EVs development can benefit the transportation sector by requiring materials, capital, and workforce, leading to sustainable growth, profitability, and innovative transportation methods.



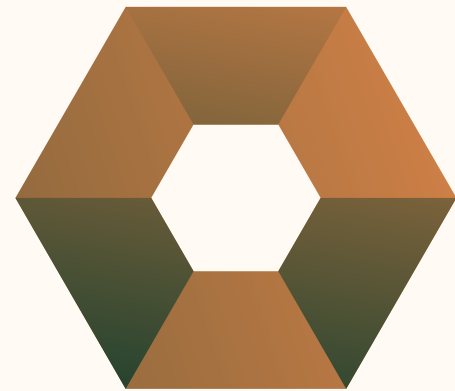
Recommendations



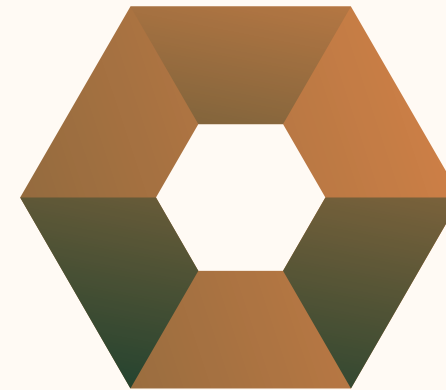
Integration with existing businesses: JSW is a major player in its steel sector. It can use its vast potential to focus on body structure of EVs and NEVs that include using of high strength, lightweight steel. This can help in reducing their making and material cost and can become a major player in EV market providing consumers with a competitive price point.



Focus on new segment: JSW-MG motor can differentiate themselves from market by offering new segment of NEVs including PHEVs (Plug-in Hybrid Electric Vehicles) and HEVs (Hybrid Electric Vehicles) alongside pure BEVs (Battery Electric Vehicles). This can bring a change in EV market.



Focus on Sustainability: JSW in collaboration with MG motors can work on sustainability by focusing on solutions like promoting closed loop manufacturing through battery recycling. This can cater major consumer base that are conscious.



Brand Positioning: JSW brand reputation and MG motor technology and focus can create unique brand identity in EV market.



CONCLUSION

JSW-MG Motor is poised to make a significant impact in the competitive Indian EV market. With a strategic focus on new energy vehicles (NEVs) and infrastructure development, coupled with JSW Group's vertical integration potential and expertise, the venture stands out among competitors. By optimizing the value chain, addressing range anxiety concerns, and emphasizing sustainability, JSW-MG Motor aims to deliver high-quality, cost-effective EV solutions while building a strong brand reputation. With a well-defined strategy, robust financial plan, and risk mitigation measures in place, JSW-MG Motor is positioned to emerge as a key player in India's rapidly growing EV sector, securing a profitable future in the process.

